higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

TOURISM OPERATIONS
NQF LEVEL 3

(11011073)

11 MARCH 2019 (X-Paper)
09:00–12:00

This question paper consists of 9 pages and two addenda of 4 pages.

NCV

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TIME: 3 HOURS
MARKS: 180

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Write neatly and legibly.

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QUESTION 1

1.1 Indicate whether the following statements are TRUE or FALSE. Choose the answer and write only 'True' or 'False' next to the question number (1.1.1–1.1.10) in the ANSWER BOOK.

1.1.1 One of the roles of marketing is to promote the image of company.

1.1.2 Advertising is a paid form of communication with potential customers.

1.1.3 A marketing culture will ensure that the company stays competitive.

1.1.4 Spending less time with family and friends is one of the advantages of being an entrepreneur.

1.1.5 The implementer in the team is the one with the strongest contacts and networks and one who will bring support from outside into the business.

1.1.6 All employees of a business form part of the image of a company and not only the marketers.

1.1.7 The marketing mix is also known as the four Ps of marketing.

1.1.8 All entrepreneurs must have good communication skills to make their businesses successful.

1.1.9 A market survey will determine the need for a product.

1.1.10 BEE stands for Black Economic Empowerment.

(10 × 1) (10)

1.2 Study ADDENDUM A: Township cycle tours and answer the following questions:

1.2.1 Mulaudzi said, 'Not everyone can be an entrepreneur.'

Quote from the article THREE points of advice Mulaudzi provides to entrepreneurs. (3)

1.2.2 Identify from the article THREE benefits which the community of Alexandra experiences from Mulaudzi's tourism venture. (3 × 2) (6)

1.2.3 Jeffrey Mulaudzi can be classified as a tour guide.

Name FOUR skills he needs to be a successful tour guide. (4)

1.2.4 Which method of advertising did he use to advertise his business? (2)

1.2.5 Briefly explain what his business entails. (5)

[30]

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QUESTION 2

2.1 Choose a/an item/word from COLUMN B that matches a description in COLUMN A. Write only the letter (A–L) next to the question number (2.1.1–2.1.10) in the ANSWER BOOK.

COLUMN A		COLUMN B	
2.1.1	A specific group of consumers with similar characteristics	A	values
2.1.2	Refers to your natural ability	B	consumers
2.1.3	A sale that lasts for a limited period	C	advertising
2.1.4	The cost of the everyday running of your business	D	marketing element
2.1.5	A person who works in an organization who turns ideas into profitable realities	E	start-up capital
2.1.6	Our basic beliefs	F	intrapreneur
2.1.7	The people who want goods and services and buy them	G	running cost
2.1.8	The way in which suppliers inform consumers about their goods	H	entrepreneur
2.1.9	Expenses that must be paid irrespective of the volume of business	I	target market
2.1.10	The money you have to start your business	J	aptitude
		K	sales promotion
		L	fixed expenses

(10 × 1) (10)

2.2 Study the advertisement, ADDENDUM B, to answer the following questions.

2.2.1 Explain the AIDA principle and how it was applied in the advertisement. (4 × 2) (8)

2.2.2 Discuss the phases of a product life cycle. (4 × 2) (8)

2.2.3 Identify the phase of the product life cycle in which the advertised product is. Substantiate your answer. (2 + 2) (4)

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QUESTION 3

Read the scenario below and answer the questions.

Valencia Naidoo is planning to open a small home-based travel agency. Having a Diploma in Tourism Management and ten years industry experience, she has the urge to achieve success on her own. She is full of energy and has the ability to identify business opportunities. She has done market research to establish if there is a need for such a business. As there is only one other agency, Harvey World Travel, she knows the need to exist. With her home situated in one of the upmarket suburbs, she is planning to cater for the upmarket market. During the research she established that there is also a need in town for a transfer service. She plans to expand in future.

3.1 Identify the business Valencia wants to open. (2)

3.2 Identify THREE characteristics that Valencia has that would help her to be a successful entrepreneur. (3)

3.3 For Valencia to be certain about starting the business, she would need to do a SWOT analysis.

3.3.1 Briefly explain to Valencia what a SWOT analysis is. (4)

3.3.2 Compile a SWOT analysis for Valencia from the given information in the scenario. (4 × 2) (8)

3.4 A friend advised Valencia that she would need a business plan before approaching organisations for financial assistance.

3.4.1 What is a business plan? (3)

3.4.2 List the basic elements that she must cover in her business plan. (7)

3.4.3 Suggest to her THREE organisations she can approach for financial training and support. (3)

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QUESTION 4

4.1 Discuss the benefits of instilling a marketing culture in a business. (10)

4.2 Identify each of the following integrated marketing communication tools:

4.2.1



4.2.2

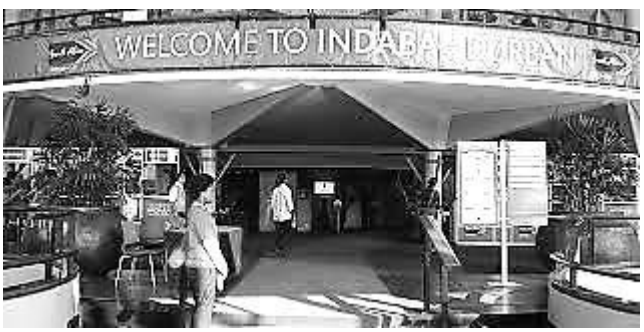


4.2.3





4.2.4



(4 × 2) (8)

4.3 To ensure the successful use of an integrated marketing communication approach, one has to follow a number of steps.

Identify the omitted steps and describe each omitted step.

STEP 1: (4.3.1.1)
STEP 2: Select the appropriate audience.
STEP 3: (4.3.1.2)
STEP 4: Marketing Communication Mix
STEP 5: Determine the budget.
STEP 6: (4.3.1.3)
STEP 7: (4.3.1.4)

(4 × 3) (12)

[30]

QUESTION 5

Study the following scenario and answer the questions:

Siphokazi is the manager of East Coast Tours. She has a number of employees working with her. She always ensures that all team members are aware of the objectives to be achieved. Thulani is very creative and is full of ideas for new tours and packages. Moses has been in the tourism industry for many years and thus has many contacts in the industry. Avuyile believes in peace and harmony, always trying to resolve and prevent conflict between team members.

5.1 Identify the various roles of the following team members and motivate your choice:

5.1.1 Siphokazi

5.1.2 Thulani

5.1.3 Moses

5.1.4 Avuyile

(4 × 2) (8)

5.2 Compile a guideline for Siphokazi with strategies to be followed for effective teamwork. (4 × 2) (8)

5.3 At East Coast Tours the consultants consult with clients on a daily basis. However, they are also working closely together with local travel agents, who display their brochures and make reservations for clients with East Coast Tours.

Which distribution channels does East Coast Tours use to get their products to potential customers? Motivate your answer. (4)

5.4 There are numerous risks that a business faces. For peace of mind it is recommended that Siphokazi takes out insurance.

5.4.1 Recommend and explain to her FOUR types of insurance that she should take out in case of risks. (4 × 2) (8)

5.4.2 What is the main benefit of taking out insurance? (2)

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QUESTION 6

6.1 The financial clerk of East Coast Tours fell ill before completing the balance sheet. Study the balance sheet and complete the missing amounts (6.1.1–6.1.5). Write only the number (6.1.1–6.1.5) and your answer in the ANSWER BOOK.

Balance Sheet of EAST COAST TOURS as at 31 December 2017

1. CAPITAL EMPLOYED		
a) Owner's equity		R50 000
• Capital	**(6.1.1)**	
• Net profit	R15 000	
		R105 000
b) Borrowed capital	R105 000	
• Long-term liabilities Mortgage loan		**(6.1.2)**
2. EMPLOYMENT OF CAPITAL		**(6.1.3)**
a) Fixed assets		
• Buildings	R110 000	
• Office equipment	R5 000	
• Machinery	R5 000	
• Vehicles	R20 000	
		R10 000
b) Net current assets	**(6.1.4)**	
Non-fixed assets		
• Stock R10 000		
• Debtors R2 000		
• Cash R8 000		
Less: Current liabilities	R10 000	
Trade creditors R6 000		
Bank overdraft **(6.1.5)**		
Short-term loan R1 000		R150 000

(5 × 2) (10)

6.2 What was the purpose of the long-term loan? (2)

6.3 Does the business have the facility to issue cheques, although there are no funds available in their bank account? Motivate your answer. (1 + 2) (3)

6.4 Does the business sell on credit? Motivate your answer. (1 + 2) (3)

6.5 Study the following scenario and answer the questions:

Samantha inherited a large sum of money and decided to open up a guest house on the way to the Cango Caves. The guest house can accommodate twelve people in double rooms. She also provides transport to local attractions, as well as transfers between the guest house and airport.

To market her business she printed brochures and distributed it to local information centres, tour operators and travel agencies. She also advertised her opening specials on the local radio stations.

A week prior to the opening of the guest house Samantha invited local tourism role players to a networking evening at the guest house, to promote her guest house. During the evening there were lucky draws, whereby members could win a free night's stay or complimentary breakfast.

Samantha makes a point of contacting all guests after their stay to follow up how they experienced their stay. The result of this is that many guests have returned for a second or third visit to the guest house.

She also reminds customers regularly on radio advertisements and advertisements in local newspapers that the guest house will continue to provide excellent service at excellent prices.

6.5.1 How did Samantha ensure that customers became aware of the guest house? (3)

6.5.2 Recommend TWO other marketing methods Samantha could use to promote her business. (2)

6.5.3 What did Samantha do to encourage people to trial the product? (2)

6.5.4 Find evidence of reinforcement in the scenario. (3)

6.5.5 Advise Samantha of TWO more ways in which she can encourage people to visit the guest house again. (2)

[30]

TOTAL: 180

ADDENDUM A

Township cycle tours: Entrepreneur (22) shows tourists the 'real' South Africa

by **Kate Douglas** on 1 September 2014

Brought to you by The Anzisha Prize

During the 2010 FIFA World Cup in South Africa, entrepreneurial activity flourished as South Africans prepared to host an influx of sporting fans and tourists from around the world. One of these entrepreneurs was Jeffrey Mulaudzi, then just 18, who saw an opportunity to provide bicycle tours of Alexandra, one of Johannesburg's oldest townships.



Jeffrey Mulaudzi

However, unlike many fly-by-night entrepreneurs that catered to the tourism industry in 2010, his business proved sustainable long after the World Cup hype had died down. In fact, Mulaudzi Bicycle Tours is currently ranked as one of the top five activities in Johannesburg by TripAdvisor, and has won him awards.

Turning an idea into reality

Mulaudzi always had an interest in learning foreign languages and in 2010 was learning French (today he is studying Mandarin). When his French tutor asked to be shown around Alexandra, he jumped at the chance.

Mulaudzi was born and raised in Alexandra and is well aware of the negative images associated with the township. He decided that the best way to show his tutor the 'real' Alexandra would be on a bicycle ride which allowed better interaction with the community.

And after successfully showing his tutor around, he saw an opportunity in introducing his home to others – not just the usual tourism sites, but the lifestyle and people.

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He started simple, making tour brochures and handing them out at hotels, but later found out that they were thrown in the trash. 'One day I went to one hotel and dropped my brochures off, and the concierge thanked me and then dropped them in the bin as I went out. Luckily a guest waiting by the concierge saw him doing that and asked for one which was rescued from the bin. He then called me for a tour for the next day,' he told *How we made it in Africa*.

With the money from his first tour Mulaudzi started paying hotels to display his brochures and the investment very quickly paid off as tourism boomed in 2010. The money he earned went towards buying more bicycles so he could increase his tour numbers.

Promoting local culture and business

Today he has three tour guides and hosts and on average around three tours a week although this fluctuates depending on the time of year. In addition to tourists, Mulaudzi has also seen a growing number of South Africans take his tours to experience township life.

Tours cost R200 (US$18,75) for two and a half hours, or R400 ($37,50) for four hours and include bikes, helmets, water, and lunch. Participants also get to taste umqombothi, a traditional beer.

During the cycling Mulaudzi introduces his group to various people living within the community who have a chance to chat and tell their stories.

'We make it so that there is communication, so that Alexandra residents can communicate with people from different countries, and visitors can see that they don't have to be afraid of Alexandra, the place that we come from. We are also people, and I want to show it's not a place where you will come and be killed or something like that,' he explained.

'I want people to better understand and know what kind of people live in the township as well.'

His tours also include a bit of Alexandra's history, such as a visit to the infamous hostels erected by the Apartheid government in the 1960s, and the home where Nelson Mandela once lived.

They also visit local businesses and shebeens, which he says brings in business for other entrepreneurs in the community.

Budding serial entrepreneur

Mulaudzi's entrepreneurial success led him to win the Young Entrepreneur of the Year award in the 2013 South African Turkish Business Awards. He has also been recently named as one of the twelve finalists for the Anzisha Prize, a pan-African competition that recognises entrepreneurs between the ages of 15 and 22 who are using business to bring change to their communities.

Mulaudzi said he has an entrepreneurial heart and while his township tours are his first business, it will not be his last. He is currently looking for partners for his second business, African Public Bicycles, where people can rent bicycles, travel to a destination, and leave them there to be collected by the company.

'At the moment the bicycles are costing around R60 to hire … and if it could be subsidised by a company … which could get advertising on the bicycle, I think it would be a very good thing.'

His plan is to first grow this model in South Africa and eventually extend it across the border.

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'Bicycles are the best form of transport to see a country and interact with people. In a car you get stuck in traffic, and if you are walking you can't cover as much distance. Bicycles make sense … and I think, when you think about traffic, we are going in that direction more and more as a continent.'

It's all about investing and reinvesting

'Not everyone can be an entrepreneur, but once you realise and understand that you are an entrepreneur, you must never ever give up,' Mulaudzi advises. 'Many people can start, but not many people can finish … but the only way you can finish what you started is to never give up.'

He added that entrepreneurs should be prepared to fail, but should consider every failure a lesson so that hopefully they never make the mistake again.

'Entrepreneurship is not easy because you always start with losing. I have never read a book that was written by an entrepreneur who says it is easy and that you just need to start and you will get money. Never. It's all about investing and reinvesting … and learning from your mistakes.'

The Anzisha Prize is the premier award for African entrepreneurs aged 15-22 who have developed and implemented innovative businesses or solutions that have a positive impact on their communities.

Source:
https://www.howwemadeitinafrica.com/township-cycle-tours-entrepreneur-22-showing-tourists-the-real-south-africa

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ADDENDUM B



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